GLOBAL INTELLIGENCE

Daily Intelligence Report

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At a Glance

- **Global AI sell-off:** The S&P 500 fell 4.36% on Thursday, wiping out about $3tn, its steepest drop in more than a year. The Nasdaq 100 fell 6.36%. Investors fear that the Democratic midterm win will bring tougher rules on AI and data centres. These are not yet law. US futures rose about 0.6% on Friday.
- **Asia hit hardest:** The Nikkei closed down 5.96% at 57,434.77, its first close below 60,000 since May. The Kospi fell 6.02%. Frankfurt and London lost about 2% at midday, and Milan about 1%.
- **ECB hike risk:** Christine Lagarde said in Milan that December will show whether the ECB raises rates again. She put euro-area inflation near 4% and Italian inflation above 5%, driven by energy. Scotiabank reads markets as pricing about 85% odds of a 25-basis-point rise on 17 December.
- **Race for Lagarde's job:** Euro-area governments' deadline for nominating candidates for ECB president fell today. Lagarde leaves on 7 February 2027. The Eurogroup reviews names on 9 November, and EU leaders decide.
- **Iran and oil:** Bloomberg reports, from one unnamed diplomat, that the US and Iran are edging toward a deal and that Tehran will discuss more of its nuclear programme. Brent is about $98, down 16% on the week. Hormuz remains closed.
- **Ukraine diplomacy:** Trump met an envoy of Putin and spoke of a deal "soon". Three-way talks are due in Abu Dhabi on 10-11 November. Ukraine has hit a sixth Russian refinery in a week.
- **Black Sea drone attacks:** At least seven merchant ships have reportedly been hit. Ursula von der Leyen will visit the region.
- **League revolt in Italy:** Most League senators have signed to remove their group leader, Massimiliano Romeo. The row now touches the budget and Economy Minister Giorgetti, though the coalition is not at risk.
- **US Republicans split:** Rep. Thomas Massie wants to revive impeachment articles against Defense Secretary Pete Hegseth over the Iran war. Trump backs Hegseth.
- **EU versus TikTok:** The Commission issued preliminary findings that TikTok's algorithm pulls users into harmful "rabbit holes". Fines can reach 6% of global turnover.

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What It Means for You in Italy

- **Mortgages:** An ECB hike in December (17th) is possible but not decided. Variable-rate mortgages would get dearer with a lag. The ECB's deposit rate is reported at 2.50%, so a 25-basis-point rise would add roughly €25 a year per €100,000 borrowed on a variable-rate loan.
- **Inflation and bills:** Lagarde puts Italian inflation above 5%, with energy up more than 20% on the year. She expects pressure to last until base effects fade. Expect no quick relief.
- **Gas and heating:** Italian storage is just above 90%, the highest among the large EU countries. That cushions the winter, but Germany, at 60%, will compete for LNG cargoes.
- **Fuel:** Brent is down 16% on the week, but Ukrainian strikes on Russian refineries keep diesel prices high. Pump prices may fall only slowly.
- **Savings and BTPs:** The 10-year BTP yields about 4.3% and the spread is near 110 basis points, calm despite the equity rout. Funds and pension products with heavy US tech exposure are likely to show losses this week.
- **Budget and pensions:** League figures want €850m added to the pension fund so people can retire at 64. Nothing is agreed, and the budget has yet to pass parliament.
- **Travel:** No direct effect reported today. The dollar is stronger, with EUR/USD near 1.12, which makes US trips slightly dearer.

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,139.08	-1.48%	+0.13%
FTSE MIB (Italy)	49,915.26	-1.17%	+0.84%
DAX (Germany)	25,708.05	-2.34%	-0.43%
CAC 40 (France)	8,065.07	-1.71%	+1.20%
IBEX 35 (Spain)	19,216.70	-1.38%	+3.02%
FTSE 100 (UK)	10,547.58	-2.18%	-1.70%

Americas	Last	Day	Week
S&P 500	7,353.73	-4.36%	-4.75%
Nasdaq 100	26,629.81	-6.36%	-9.43%
VIX (US volatility)	26.88	-4.61%	+38.41%
Bovespa (Brazil)	166,192.00	-0.82%	-2.82%

Asia	Last	Day	Week
Nikkei 225 (Japan)	57,434.77	-5.96%	-11.17%
CSI 300 (China)	4,054.28	–	–
Hang Seng (Hong Kong)	24,481.86	-1.27%	+5.10%
KOSPI (South Korea)	5,059.69	-6.02%	-11.71%
Taiex (Taiwan)	39,701.64	-4.51%	-12.19%
Nifty 50 (India)	25,030.35	+2.01%	+8.58%

Rates	Last	Day	Week
US 10Y yield (%)	4.8370	-1.16%	-3.05%
US 2Y yield (%)	4.7750	+0.00%	+0.53%

Currencies	Last	Day	Week
EUR/USD	1.1177	-0.52%	-0.05%
EUR/GBP	0.8339	+0.03%	-0.24%
EUR/CHF	0.9142	-0.33%	-0.73%
EUR/CNY	7.4559	-0.57%	+0.10%
US Dollar Index (DXY)	101.97	+0.41%	+0.09%
USD/JPY	158.34	-0.01%	+0.34%
USD/CNH	6.6688	–	–
USD/RUB	81.92	+0.15%	+0.83%
USD/INR	93.90	-0.65%	-1.32%
USD/BRL	5.4969	+0.70%	+2.08%
USD/TRY	50.15	+0.23%	+0.42%
Bitcoin ($)	76,150.78	+0.27%	-2.68%

Commodities	Last	Day	Week
Brent ($/bbl)	98.46	+0.17%	-16.30%
WTI ($/bbl)	90.83	+0.34%	-12.76%
Dutch TTF gas (EUR/MWh)	88.63	-2.26%	-14.73%
Gold ($/oz)	4,079.20	-0.83%	+4.62%
Silver ($/oz)	52.10	-0.25%	+6.13%
Copper ($/lb)	6.2680	+0.30%	-2.95%
Wheat (c/bu)	590.00	-1.54%	-2.24%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

I Europe & Italy

Italy

Italy's main political story is a revolt inside the League, the junior coalition party led by Matteo Salvini. Markets are also under pressure from a global sell-off in AI-linked shares.

League turmoil spreads to the budget and the Senate

Most of the League's 29 senators have signed a request to remove Senate group leader Massimiliano Romeo, according to Il Sole 24 Ore. Romeo backed Massimo Garavaglia's bid in the party congress and refuses to resign, saying he will wait for a group assembly. Marco Dreosto is seen as the likeliest replacement. The party's federal council meets in Milan today for the first time since the congress. Routine appointments are expected, and Salvini may delay naming his new leadership team.

The budget is also affected. Alberto Gusmeroli replaced Silvana Comaroli, an ally of Economy Minister Giancarlo Giorgetti, as rapporteur on the budget bill. Party figures have asked Giorgetti to add €850 million to the three-year pension fund so that people can retire at 64.

Why it matters: The row pits the party's northern wing against Salvini, and it is now landing on Giorgetti, the League's most market-trusted minister. The coalition is not at risk, but the budget will be harder to manage.

Watch: The outcome of the federal council, and whether Romeo's group assembly is called.

Sources: Il Sole 24 Ore

Markets fall with the AI sell-off, but the spread holds

Milan opened down 1.68% (Ftse Mib) and traded about 1% lower, with banks weak. Frankfurt and London fell about 2%, and Tokyo's Nikkei closed down 5.96%, below 60,000 for the first time since May. ANSA reports that US stocks lost about $3.2 trillion in value on 5 November. The trigger was fear of tougher rules on AI and data-centre construction.

The BTP-Bund spread (the yield gap between Italian and German 10-year bonds) opened at 110 basis points, against 109 at Thursday's close. The BTP yield was 4.31%. Banks drew attention too. Monte dei Paschi (MPS) reported nine-month net profit of €1.657bn, up 21.2%. Its third-quarter profit was €543m, above the €533m analysts expected. It said it will assess the public exchange offer (Opas) for the bank in November, once the offer document is out.

Market impact: The spread has barely moved despite the equity sell-off. The euro was down about 0.2% against the dollar.

Sources: ANSA, ANSA on MPS, ANSA on the spread

Lagarde in Milan: a December rate decision

Speaking to students at Piazza Affari on 5 November, ECB President Christine Lagarde said the ECB will decide in December whether to raise rates again. She said inflation is about 4% in the euro area and above 5% in Italy, driven by energy. By her figures, energy prices are up about 18% year on year in the euro area and over 20% in Italy. She also said the ECB discussed a hike at its last meeting but chose to wait for more data.

For Italy: A hike would raise costs for variable-rate mortgages and for state debt service.

Sources: ANSA

Other items

- **Ukraine aid:** Defence Minister Guido Crosetto goes before the parliamentary intelligence committee (Copasir) on Tuesday as a new military aid package takes shape. He said Kyiv asks for items that are "not available", so packages have shrunk.
- **Gas:** Italian storage is just above 90%, against 60.25% in Germany. EU stocks fell nearly 1 point in three days.

Sources: Il Sole 24 Ore, ANSA

European Union

The race to succeed Lagarde at the ECB opens

Euro-area governments had until today to put forward candidates for ECB president. Eurogroup chief Kyriakos Pierrakakis plans to review the names at the Eurogroup meeting on 9 November. The ECB said on 29 October that Lagarde will leave on 7 February 2027. Earlier reporting named Pablo Hernández de Cos (Spain's pick, now head of the Bank for International Settlements) and former Dutch central banker Klaas Knot as frontrunners. Bundesbank head Joachim Nagel was also mentioned. Bloomberg asks whether it will be a two-horse race.

Why it matters: The Eurogroup only advises. The final decision rests with the European Council, which brings EU leaders together. The choice will shape policy during an inflation spike, and it is also a Franco-German bargaining chip. A separate reported deadline of 27 November covers the seat vacated by Isabel Schnabel.

Watch: The list of nominees and the Eurogroup meeting on 9 November.

Sources: Bloomberg, Irish Times, Euronews

Commission accuses TikTok over "rabbit holes"

The Commission said today that TikTok has failed to stop its recommendation algorithm from pulling users into "rabbit holes" of content about sadness, self-harm and body image. This is a preliminary finding under the Digital Services Act (DSA), the EU's platform law. TikTok has already contested earlier findings on addictive design, calling them "meritless". A final non-compliance decision can bring fines of up to 6% of global turnover.

Watch: TikTok's reply, and whether the Commission moves to a final decision.

Sources: The Record

Defence, migration and the Black Sea

- **Hypersonic defence:** The Commission is expected to choose by the end of November between two consortia to develop a European interceptor against hypersonic and ballistic missiles. A system-level demonstrator is targeted for 2030.
- **Migration:** A Commission analysis suggests Germany could come under pressure over its share of refugees. Handelsblatt says this gives Berlin room to seek relief in upcoming talks.
- **Black Sea:** Ursula von der Leyen will visit the Black Sea region after at least seven commercial vessels were reportedly hit by drones that many link to Russia.
- **Climate:** The EU's Copernicus climate service says 2026 will almost certainly exceed 1.5C of warming. October was the warmest on record, at 1.75C above pre-industrial levels.

Sources: Breaking Defense, Handelsblatt, Politico Europe, FT

Italy in the EU & PNRR

Italy's budget leans on an EU defence-spending exemption, which finance ministers are due to discuss around 9 November. Rome also has a stake in the ECB succession. I found no new infringement or Council vote involving Italy in the last 24 hours. Today's market stress adds weight to the question of how much fiscal room Italy really has.

Watch: The Eurogroup and Ecofin (finance ministers' council) meetings around 9 November. They cover the escape clause and the ECB candidates.

PNRR tracker

Italy's recovery plan (the PNRR, funded by the EU's NextGenerationEU) is in its final stretch. Rome says it met all 156 targets for the tenth and last instalment, worth €28.4bn, and filed the request around the 30 September deadline. The Commission is checking it. According to reports, all milestones were due by 31 August 2026 and all payments must be made by 31 December 2026. I found no payment announcement this week.

Item	Status	Next step
Tenth instalment (€28.4bn)	Requested; Commission assessment under way	Commission opinion, then payment by 31 Dec
Plan revision (about €2.1bn, for Industria 5.0 and housing)	Submitted to Brussels in June, per Milano Finanza	Commission and Council approval
Final deadline	Payments by 31 Dec 2026	No extension expected

Sources: Agenzia Nova, Milano Finanza

Across Europe

Germany

Chancellor Friedrich Merz faces three open problems this weekend, according to Politico's Berlin Playbook. These are a dispute over the sugar tax, the ECB succession, and above all the choice of a candidate for federal president. Söder's CSU backs Bavarian Landtag speaker Ilse Aigner, and Merz has said he wants a woman in the job. Steinmeier's term ends in March 2027. Separately, the state wants to cut its stake in utility Uniper and is offering a higher dividend to attract investors. Berlin also backs a global electricity target for 2035 ahead of the COP31 climate summit in Antalya.

Sources: Politico Europe, Handelsblatt, Handelsblatt on climate

France

Parliament is still debating the 2027 budget, and the government has no majority. Prime Minister Sébastien Lecornu is seeking €54bn in savings and aims for a deficit of 5% of GDP. Reports say a vote to pass the revenue part looked unlikely and that he might use Article 49.3, which forces a bill through without a vote. I could not confirm this week's outcome.

Sources: LCP

Austria

Chancellor Christian Stocker visited China, the first trip by an Austrian chancellor in seven years. Xi Jinping offered cooperation on electric cars and AI and also commented on EU policy toward China.

Sources: Handelsblatt

Spain

Authorities told olive growers to keep 12% of production off the market to stabilise prices during a glut. The FT calls this unprecedented. Separately, Denmark's pension fund ATP is weighing a sale of its stake in gas distributor Redexis, valued at about €2bn.

Sources: FT, Bloomberg

Poland and Lithuania

Polish drone maker WB Electronics has asked banks to pitch for roles in a possible Warsaw listing next year, valuing it at about €7bn. Lithuanian President Gitanas Nausėda told Politico that "the Russians will only pretend to negotiate" over Ukraine, and he expects further provocations.

Sources: FT, Politico Europe

United Kingdom

London's FTSE fell about 2% in line with Europe, a day after the Bank of England's first rate rise since 2023.

Sources: ANSA

II Great Powers

United States

Democrats' midterm win is now moving markets and testing the Republican Party. Investors fear tighter rules on AI and data centres, and the party is searching for someone to blame for the Iran war.

Wall Street's AI rout wipes out about $3 trillion

US stocks fell on Thursday 5 November, the S&P 500's steepest drop in more than a year. Bloomberg puts the loss at about $3 trillion. The trigger was fear that the Democratic victory brings tougher scrutiny of data-centre construction and the AI industry. Nasdaq opened down 1.14% and the selloff deepened after that. Japan's Nikkei closed down 5.96% at 57,434.77, its first close below 60,000 since May. Seoul fell about 6%. Frankfurt and London were down about 2% at midday, and Milan about 1%. US futures rose 0.6% on Friday as dip-buyers returned.

Why it matters: The AI trade has driven US equity gains. The risk now is political: state and federal limits on power-hungry data centres.

For Europe & Italy: The euro slipped 0.4% to about 1.117 against the dollar. The BTP-Bund spread, Italy's extra yield over Germany's, is around 108-110 basis points.

Watch: Whether the rebound holds, and what Democrats say about data-centre rules.

Sources: Bloomberg, ANSA, BBC

Republicans turn on Hegseth; Trump holds firm

Republican Rep. Thomas Massie plans to bring back impeachment articles against Defense Secretary Pete Hegseth. He accuses him of running the Iran war without congressional authorisation. Trump says "Pete is doing an excellent job". Vice President JD Vance reportedly blamed the Iran war for the losses. Il Sole 24 Ore reports that Trump might dismiss generals Dan Caine and Brad Cooper instead. It also reports rumours that Secretary of State Marco Rubio might resign, which he denies.

Why it matters: Impeachment needs a simple House majority, but removal needs two-thirds of the Senate.

Watch: Massie's vote when the House returns.

Sources: Il Sole 24 Ore

Fed waits; Trump meets a Russian envoy

New York Fed president John Williams, speaking at the ECB in Frankfurt, said it is "the appropriate time to accumulate more information" on inflation. The FT argues the election shows tariffs have a political cost. Trump met an unnamed envoy of Putin at the White House on Thursday and spoke of a deal "soon". He gave no details.

Sources: Bloomberg, Handelsblatt, FT

China

Beijing is courting individual European governments while it uses regulatory tools against foreign deals, and its stocks fell again on Friday.

Xi courts Austria on EVs and AI

Xi Jinping offered Austria closer cooperation on electric vehicles and AI. He was meeting Austria's chancellor on the first visit to China by an Austrian chancellor in seven years. Handelsblatt says Xi also commented on EU policy toward China, but gives no detail in its summary.

Why it matters: Beijing tends to deal with EU states one by one while the EU debates tariffs and "de-risking" (reducing dependence on China). A smaller member state's visit gives Xi a platform to argue against EU trade defences.

For Europe & Italy: Italy and others face the same pitch, since Chinese EVs compete directly with European makers.

Watch: Any Austrian business deals announced, and Brussels' reaction.

Sources: Handelsblatt

Markets, chips and the SoftBank fallout

Shenzhen fell 2.2%, Shanghai 1.1% and Hong Kong 1.2% on Friday, in the global AI selloff. The FT sees Beijing's block of SoftBank's ABB robotics deal, reported yesterday, as the start of a "robot war". Nvidia is stepping up tracking of AI chips sold in Southeast Asia to curb smuggling to China. Separately, Handelsblatt reports that Nvidia chief Jensen Huang knew an executive whom US intelligence reportedly regards as a Chinese informant. It says he is to be questioned in Congress. These are the report's claims and I could not verify them independently.

Market impact: Chinese equities are already in a bear market, so Friday adds to a trend. Chip-equipment and AI names stay exposed to export-control news.

Sources: ANSA, FT, Bloomberg, Handelsblatt

Japan and Taiwan frictions

On 7 November it will be a year since Japanese PM Sanae Takaichi's parliamentary remarks on Taiwan, which began a dispute with Beijing. The Japan Times sees few signs of a thaw. The Economist says Beijing and Taipei are contesting Sun Yat-sen's legacy ahead of his 160th birthday. Shenzhen, meanwhile, is cleaning up for the APEC summit.

Sources: Japan Times, Economist, FT

Russia & Ukraine

Diplomacy is heating up before the Abu Dhabi talks on 10-11 November. Meanwhile Kyiv is hitting Russian refining harder, and drone attacks on shipping in the Black Sea are alarming Brussels.

Trump hints at a deal after meeting Putin's envoy

Trump met a representative of Putin at the White House on Thursday and said an agreement to end the war could come soon. He gave no content, and Handelsblatt did not name the envoy. Melania Trump hosted Russian and Ukrainian officials and called for a lasting truce. All sides credit her with an unspecified role in the Oleshky

ceasefire. Lithuania's president Gitanas Nausėda warns that "the Russians will only pretend to negotiate". Japan Times analysts say the Democratic win could bring new aid for Ukraine and more scrutiny of Trump's Russia policy.

Why it matters: The three-way talks in Abu Dhabi would be the first since February. Territory and security guarantees remain unresolved, and Trump's optimism has been repeated before.

Watch: Who attends in Abu Dhabi, and any Russian response to the White House meeting.

Sources: Handelsblatt, BBC, Politico Europe, Japan Times

Sixth refinery hit in a week

Bloomberg reports Ukraine attacked a sixth Russian crude-processing plant in a week, forcing a major refinery to halt operations. The campaign is intensifying. I could not confirm which plant it was.

Market impact: Refinery outages tighten Russian fuel supply and export capacity. That adds to diesel pressure in Europe.

Sources: Bloomberg

Black Sea drones; Japan Tobacco seized

Ursula von der Leyen will visit the Black Sea region after at least seven commercial vessels were reportedly hit by drones, which many link to Russia. Putin ordered the seizure of Japan Tobacco's Russian business, the market's largest cigarette company, which will strain Moscow-Tokyo ties. Ukraine's envoy hopes for a new Starshield satellite contract by mid-2027, while considering alternatives to SpaceX.

Sources: Politico Europe, FT, Breaking Defense

III World Regions

Middle East & Gulf

Diplomacy with Iran and the war in Yemen both moved in the past 24 hours. They point in opposite directions.

US and Iran edge closer to a deal, with the nuclear file back in play

Bloomberg reports that Washington and Tehran are moving toward a possible breakthrough to end the war. A diplomat with knowledge of the talks says Iran is now willing to discuss parts of its nuclear programme that were previously off the table. This is one unnamed source, and neither government has confirmed it.

Why it matters: Yesterday's edition reported that Supreme Leader Mojtaba Khamenei rejected any softening and that Qatar-mediated talks were stalled. This account is more upbeat. Public hardline statements and private flexibility can coexist, so treat both signals with caution.

Market impact: Brent fell about 9% on 4 November and traded near $97 on bets that the war will end sooner. Hormuz is still closed, so any confirmed opening would push prices lower again.

Watch: Any statement from Qatar or the White House, and any partial reopening of Hormuz.

Sources: Bloomberg

Satellite images show construction near Iranian missile bases

The BBC reports that imagery taken in November shows digging and new buildings near Iran's missile bases. The reports suggest Tehran is rebuilding or hardening these sites while it negotiates.

Watch: Whether any deal text covers missiles. Iran has so far kept missiles out of the talks.

Sources: BBC

Saudi-Houthi fighting: a Yemeni livestock market is hit

Media close to the Houthis say Saudi air raids hit a livestock market in al-Wazi'iyah, in Taiz province. They report more than 30 dead and wounded, a provisional toll that is not independently confirmed. They also report strikes on Sana'a and in Saada. Riyadh has not commented in the reports I found.

Why it matters: Saudi-Houthi hostilities resumed in July. Reporting from October describes Houthi missile and drone attacks on Saudi territory and a Houthi ban on ships linked to Saudi Arabia. The war adds risk to Red Sea routes, which Riyadh increasingly relies on while Hormuz is shut.

Sources: ANSA

Other Gulf items

- **Eurofighter:** The consortium sees possible follow-on orders from Turkey and Saudi Arabia totalling 78 jets, plus 36 from Austria.
- **Man Group:** A judge found it liable for roughly $155m over Kuwaiti pension-fund bribery that diverted $1bn.

Sources: Breaking Defense, Bloomberg

Indo-Pacific

Tokyo and Seoul lead an Asian tech rout

The Nikkei 225 fell 5.96% on Friday and closed below 60,000 for the first time since May. The FT called it Japan's biggest one-day fall since the April 2025 "liberation day" tariff shock. Bloomberg reports South Korean stocks also tumbled. Frankfurt and London were down about 2% by midday. Investors blame fears that the Democratic midterm win will bring tougher scrutiny of AI and data-centre construction. Bloomberg calculates that Asia's AI-linked tycoons, SoftBank's Masayoshi Son among them, lost $18bn in a day.

Why it matters: Japan and Korea are heavily weighted toward AI hardware, so they feel any shift in US policy first. The move is a market reaction to expected regulation, not a change in law.

For Europe & Italy: European indices followed Asia lower.

Watch: Whether Wall Street extends the fall, and any signals from Democratic leaders on data-centre rules.

Sources: FT, Bloomberg, ANSA

Japan-China freeze, one year on

Japanese Prime Minister Sanae Takaichi told parliament on 7 November 2025 that a Taiwan crisis could threaten Japan's survival. China has been in dispute with Japan ever since, and the Japan Times sees few signs of a thaw. Taiwan and China are also contesting the 160th birthday of Sun Yat-sen, whom both claim as a founder.

Sources: Japan Times, The Economist

Chips and other moves

- **Nvidia:** It is stepping up tracking of AI accelerators sold in Southeast Asia, after criticism that chips reach Chinese firms illegally.
- **Putin and Japan Tobacco:** Putin ordered the seizure of Japan Tobacco's Russian business, which the FT says will strain Moscow-Tokyo ties further.
- **Malaysia:** Najib Razak is heading home to serve his 1MDB sentence under house arrest after his party UMNO paid a 50 million ringgit fine tied to a royal pardon.
- **Thailand:** Inflation hit 3.9%, above the central bank's ceiling for the first time in over three years, on oil and flood-hit food prices.

Sources: Bloomberg, FT, Bloomberg, Bloomberg

BRICS+ & Global South

No bloc-level BRICS+ summit, New Development Bank or de-dollarisation news appeared in the window. The main developments were at member level.

South Africa's ANC heads for its worst showing

Bloomberg says the African National Congress is on course for its weakest result yet in this week's municipal vote, after public anger over water and power cuts and potholed roads. The FT notes the party has been reduced to a minority in the country's largest cities. Final results had not been confirmed in the sources I could check.

Why it matters: South Africa is the BRICS member with the most fragile ruling coalition. A weaker ANC makes national politics and reform harder to predict.

Watch: The final tally and any shifts in coalition control of Johannesburg, Tshwane and Cape Town.

Sources: Bloomberg, FT

Oil, chips and sanctions pull members in different directions

Higher oil prices are lifting inflation in importers such as Thailand. Putin, meanwhile, is expropriating Japanese assets in Russia. Nvidia's tightened tracking in Southeast Asia targets a chip-smuggling route into China.

Africa

Nigeria's top opposition candidate loses his nomination

Nigeria's Federal High Court nullified the nomination of Atiku Abubakar, the main opposition presidential candidate, ahead of the January election. His party says it will appeal.

Why it matters: The ruling removes the best-known challenger in Africa's most populous country. Appeals will decide whether he can run.

Sources: Bloomberg

Tanzania jails opposition leader Tundu Lissu

A court sentenced Lissu to four years for incitement. It acquitted him of treason, which carries the death penalty. He has been detained since April 2025 and says the charges are political. The UN and human rights groups have condemned the case.

Sources: Bloomberg, BBC

Kenya: cult leader sentenced for 191 murders

Paul Mackenzie received a life sentence. He ordered followers to starve their children in a forest so they could "meet Jesus".

Sources: BBC

Economy and wider context

- **Angola:** The central bank expects single-digit inflation to last.
- **South Africa:** The ANC slump is covered in the BRICS+ section above.
- **Sudan, DRC, Sahel and the Horn:** I found no verified developments in the window.

Sources: Bloomberg

Latin America

Paraguay: bank collapse becomes a political crisis

Paraguay's central bank put digital lender Ueno into resolution on 2 November, after its solvency ratio fell below half the legal minimum. The bank has about 3 million customers and holds roughly $850m of public funds. Its central bank chief, Carlos Carvallo, resigned at President Santiago Peña's request. Peña had been a business partner of Ueno's owner, Grupo Vázquez, until March 2025. The opposition accuses him of conflicts of interest and is seeking impeachment. Prosecutors ordered eight arrests.

A Handelsblatt video headline says Peña himself announced he would step down. I could not confirm that in other reports, so treat it as unverified.

Watch: The deposit-guarantee bill in Congress and any impeachment vote.

Sources: Reuters via Internazionale, Handelsblatt

Pope Leo XIV returns to Peru

The pope is travelling to Latin America. The trip includes Chiclayo, where he served as a missionary bishop. Bloomberg frames it against Trump's push for greater US influence in the region.

Sources: Bloomberg

Economy and politics

- **Chile:** Annual inflation rose to its highest in over a year. The rise comes days after the central bank said it had considered raising rates.
- **Brazil:** The Economist profiles André Janones, a left-wing congressman, as a model for online campaigning. Bloomberg's Brasília em Off programme looks at Lula's fourth-term agenda.
- **Brazilian fintech:** Nubank failed to clinch a £10bn takeover of Britain's Monzo, according to the FT.

Sources: Bloomberg, The Economist, FT

IV Security, Technology & Space

Defence & Security

Europe's defence agenda today is about air defence, drones and procurement, with the Black Sea drone attacks adding pressure.

Von der Leyen heads to the Black Sea after drone strikes on merchant ships

European Commission President Ursula von der Leyen will visit the Black Sea region. Politico reports at least seven commercial vessels have been hit by drones, which many link to Russia. In October, AP reported a drone strike sinking a ship off Bulgaria and a Turkish-owned grain ship sinking off Romania, where two people died. Nobody has established who is responsible. Bulgaria's prime minister, Rumen Radev, argued the strikes favour Russia. Ukrainian President Volodymyr Zelensky blamed two Russian drones.

Why it matters: The strikes now reach the waters of NATO members Bulgaria and Romania, and they threaten grain and fuel shipping.

Watch: Any EU or NATO announcement on maritime security during the trip.

Sources: Politico Europe, Al Jazeera

Commission to pick a hypersonic interceptor consortium by 30 November

The Commission must choose between two teams building the Endo-Atmospheric Interceptor. HYDEF is led by Spain's SMS with Diehl, and backed by Spain, Germany, Poland, Belgium and Norway. HYDIS is led by MBDA with Saab, Thales and Leonardo, and backed by France, Italy, the Netherlands and Germany. The European Defence Fund has pledged €100m for Phase 2, which is expected in 2027. A demonstrator is targeted for 2030.

For Europe & Italy: Italy sits in the HYDIS camp through Leonardo.

Sources: Breaking Defense

Crosetto: Ukraine asks for items that no longer exist

Defence Minister Guido Crosetto told the Senate that Kyiv requests "things that are not available". He said this is why aid packages have shrunk. He is due before the Copasir, Parliament's intelligence oversight committee, on Tuesday.

Sources: Il Sole 24 Ore

Other moves

- **Eurofighter:** The consortium sees possible sales of more than 200 jets, including 78 for Turkey and Saudi Arabia and 36 for Austria. *Breaking Defense*
- **Poland:** Drone maker WB Electronics is preparing a Warsaw listing that could be worth up to €7bn. *FT*
- **France:** The far left's presidential platform, led by Jean-Luc Mélenchon, now includes leaving NATO. *Politico Europe*
- **Ukraine truce:** Melania Trump hosted Russian and Ukrainian officials and called for a lasting truce. *BBC*

Cyber & Information Warfare

Reports say a Chinese-linked executive cultivated Nvidia's chief

The New York Times, as relayed by other outlets, reported that US intelligence monitored Alice Huang, a Megaspeed executive, for about a year. She is no relation to Nvidia CEO Jensen Huang. Officials reportedly believe she passed information to Beijing, and that Jensen Huang probably did not know. Nvidia says its customers receive only ordinary business information. Beijing calls the report "groundless speculation". Republican lawmakers now want him to brief congressional committees. This remains an intelligence-sourced allegation, not a charge or a court finding.

Why it matters: It feeds the debate over whether chip export policy is being undermined by close ties to Chinese firms.

Sources: FT, Handelsblatt

US sanctions more Prince Group scam network affiliates

Washington sanctioned four people and 41 companies tied to Cambodia's Prince Group, which it accuses of running a billion-dollar scam operation.

Sources: The Record

Japan announces an emergency cyberdefence package

Prime Minister Sanae Takaichi's government announced measures focused on public-private cooperation and building expert teams. I could not access the detail on amounts.

Sources: Japan Times

Fact Check

The claim: "A Chinese spy was planted on Nvidia's CEO"

Verdict: Missing context / Unproven

What is actually true: The story rests on intelligence sources cited by the New York Times. The woman at the centre is not related to Jensen Huang. Officials reportedly think he likely did not know of any spying. Nvidia and Beijing deny the claims, and there are no charges or hearings.

Why it matters: Headlines compress "an executive was monitored" into "a spy targeted him". The story spreads fast because it combines AI, China and Trump.

Sources: Handelsblatt, FT

The claim: "Anti-data-centre anger decided the US midterms"

Verdict: Unproven

What is actually true: BBC Verify is examining this exact question. I could not read its findings, so I give no verdict on its conclusions. Pre-election polling showed opposition to local data centres across both parties. Polling alone does not show it decided any race.

Why it matters: Investors and commentators are using the claim to explain the AI selloff.

Sources: BBC Verify

Technology & AI

AI and chip stocks suffer their sharpest fall in over a year

Worries about tougher scrutiny of data centres wiped about $3tn off the S&P 500 on Thursday. That was its steepest drop in more than a year. Bloomberg also cites weak chipmaker earnings. Asian markets fell on Friday. Japan's Nikkei 225 and Topix dropped nearly 6%, their biggest one-day fall since the April 2025 "liberation day" tariffs. Bloomberg puts the losses of Asia's AI-linked tycoons, including SoftBank's Masayoshi Son, at $18bn. US futures rose 0.6% on Friday as dip-buyers returned. T. Rowe Price's Sebastien Page said there was "no real trigger". ING's Anneka Treon said AI demand has not been derailed.

Why it matters: The fall follows the Democratic sweep of Congress. Investors are pricing in a risk of data-centre curbs, which is not yet law.

For Europe & Italy: Equipment suppliers such as Germany's Trumpf, whose laser business is growing on chip demand, are exposed to the sentiment.

Market impact: Chipmakers, Asian tech and bitcoin fell. Copper hit its lowest since July.

Watch: Whether the rebound holds, and any Democratic bills on data-centre power and permitting.

Sources: BBC, Bloomberg, FT, Handelsblatt

EU accuses TikTok of trapping users in harmful "rabbit holes"

The Commission issued preliminary findings under the Digital Services Act (DSA). It says TikTok's recommendation algorithm pulls users into sad, self-harm and body-image content, and that its break-the-loop tools work only briefly. The Commission analysed about 20,000 videos. A fine can reach 6% of global revenue. The findings are not final, and TikTok can contest them.

For Europe & Italy: It is the first time the EU has challenged a platform's engagement-based recommendation system.

Sources: The Record

Nvidia tightens tracking of chips in Southeast Asia

Nvidia is stepping up monitoring of AI accelerators sold in the region, after criticism that it has not done enough to stop chips from reaching Chinese firms. The FT reports Shenzhen is clearing out smuggled-chip markets before hosting the Apec summit.

Sources: Bloomberg, FT

Other moves

Tesla will end Cybertruck production in Texas to make room for the driverless Cybercab, according to the BBC and FT. *BBC*

Space

Ukraine seeks a new Starshield contract amid unexplained October failures

Ukraine's chargé d'affaires in Washington, Denys Sienik, hopes for a new SpaceX Starshield contract before the current one expires in mid-2027. Kyiv still has no answers from the Pentagon or SpaceX about October, when officials say Starshield changed suddenly. They blamed this for drone and defence failures that killed people. Sienik said the issue is now resolved. He called the service irreplaceable but said Ukraine is building backups, and Europe is developing its own systems.

Why it matters: A private firm's network is now a battlefield dependency.

Watch: Possible Democratic oversight hearings after the midterms.

Sources: Breaking Defense

CesiumAstro raises $730m

The US firm closed a Series D led by Janus Henderson at a valuation above $4.5bn. It also unveiled its Synchronicity satellite constellation.

Sources: SpaceNews

Other items

- The Economist reports dead Starlink terminals in Myanmar are costing lives. *The Economist*
- Cork-based heat shielding will protect data on ESA's DRACO re-entry mission. *SpaceNews*

V Economy, Markets & Energy

Global Economy & Central Banks

Central bankers are still talking about inflation, not growth. Energy prices linked to the Iran war are the cause. Friday's equity rout adds a new worry, but nothing said today changes the policy outlook.

Lagarde says December will decide whether the ECB hikes again

Speaking in Milan on Thursday to more than 600 students, ECB President Christine Lagarde said the bank will "review our projections in December" and then judge whether another rate rise is needed. She blamed Italy's high inflation on energy. ANSA reports that energy prices are up about 18% in the euro area and more than 20% in Italy over the year. She said the pressure will probably last until base effects fade, meaning the year-ago price jump drops out of the annual comparison.

Why it matters: The ECB held rates on 29 October after discussing a hike. Market reports put the deposit rate at 2.50%. Scotiabank says markets price about 85% odds of a 25-basis-point rise at the 17 December meeting. That price comes from one bank's reading, and the ECB has not committed.

For Europe & Italy: A hike lifts costs for Italian floating-rate mortgages and for the state's debt. The BTP-Bund spread (the extra yield Italy pays over Germany) was about 109-110 basis points, and the 10-year BTP yielded about 4.3%.

Watch: The ECB succession. Bloomberg says a deadline today reveals the candidates to replace Lagarde, who is reported to leave on 7 February 2027, well before her term ends.

Fed's Williams: gather more data

New York Fed President John Williams told an ECB event in Frankfurt that "this is the appropriate time to accumulate more information" before judging policy, to secure "a timely return" to 2% inflation. That points to a wait-and-see Fed, not a move.

Market impact: The US 10-year yield is 4.84% and the 2-year 4.78%, so the curve is nearly flat. The dollar index rose 0.41% to 101.97, and EUR/USD fell 0.52% to about 1.12. USD/JPY is 158.34, a level Tokyo watches closely.

Markets & Finance

Facts: A global equity rout followed a US selloff on Thursday. The S&P 500 fell 4.36% and the Nasdaq 100 fell 6.36%, its worst day since March 2020 according to one market wrap. Bloomberg says about $3 trillion was erased from the S&P 500. It was the index's steepest drop in more than a year. The VIX, Wall Street's volatility gauge, is at 26.88. Bloomberg and the BBC tie the trigger to fears of tighter regulation and congressional oversight of AI data-centre building after the Democratic midterm win.

On Friday the Nikkei fell 5.96% to 57,434.77, its first close below 60,000 since May. The Kospi fell 6.02% and Taiwan's Taiex fell 4.51%. Bloomberg says Asia's AI-linked tycoons, SoftBank's Masayoshi Son among them, lost $18bn. Frankfurt and London were down about 2% by mid-morning, and Milan was down about 1% earlier. Euro Stoxx 50 closed Thursday down 1.48%. US futures rose about 0.6% as dip-buyers returned.

Expectations, not facts: T. Rowe Price's Sebastien Page said there was "no big trigger" and sees buying opportunities. That is one manager's view. Whether the rout is a pause or a break is not yet known.

Other markets: BTP spread 110 basis points, up marginally. Gold fell 0.83% to $4,079. Bitcoin is $76,151. Brent is $98.46, down 16% on the week.

Banks and deals: Mps reported nine-month profit of €1.66bn (+21%). Its third quarter was €543m, against €533m expected. Its CET1 capital ratio, a core measure of bank solidity, is 16.4%. Mps says it will assess Intesa Sanpaolo's takeover offer by November. Man Group's shares fell after a UK judge found it liable for about $155m in a Kuwaiti pension bribery case. Monzo is exploring a raise at a £7.5bn valuation, per the FT.

Trade, Tariffs & Sanctions

Trade news today is more about politics than new measures. Washington is digesting the midterm result and tightening its focus on China and AI chips.

US sanctions more Prince Group scam affiliates

The US Treasury sanctioned four people and 41 companies tied to Cambodia's Prince Group. The US accuses the group of running a billion-dollar scam-centre operation. The move extends earlier actions against the group.

Why it matters: It shows sanctions being used against financial crime networks, not only states. Banks must screen for the new names.

Nvidia's Huang faces congressional questions

Handelsblatt reports that Nvidia chief Jensen Huang is to be questioned in Congress over contacts with a manager that US intelligence reportedly sees as a Chinese informant. It says Trump did not pass on warnings. This is a press report, not a finding.

Market impact: Chip export-control politics add to the pressure on semiconductor stocks, already hit by the AI selloff.

Tariff debate and China's outreach

An FT opinion piece argues the Republican midterm losses show the cost of protectionism. That is a view, not a policy change. Chinese President Xi offered Austria cooperation on electric cars and AI during the first trip to China by an Austrian chancellor in seven years (Handelsblatt). Beijing is courting individual EU states while it blocks deals such as SoftBank's purchase of ABB's robotics unit, which we covered yesterday.

Watch: Shenzhen hosts the APEC summit, where US-China contacts on chips may surface.

Energy & Critical Minerals

Oil has fallen sharply on the week but remains near $100, and European gas is still about three times its normal level.

Ukraine's refinery campaign intensifies as oil eases

Bloomberg reports Ukraine hit a sixth Russian refinery in a week, and a major plant halted operations. Brent is $98.46 and WTI $90.83. Brent is down 16.3% on the week, after a 9% drop on 4 November on hopes the Iran war could end sooner. Hormuz remains closed, so the price still carries a large war premium.

Why it matters: Strikes on Russian refining cut the diesel and petrol Russia can export. That keeps diesel prices high even if crude falls. Trump met a Russian envoy on Thursday and talked of a coming deal on the Ukraine war (Handelsblatt). The Abu Dhabi talks on 10-11 November are the next test. Peace could ease energy prices further, though no terms are known.

Market impact: Falling crude hurts oil producers and helps importers such as India, whose Nifty 50 rose 2.01% on Thursday.

Gas storage drains in the cold

EU storage fell from 74.56% to 73.75% in three days, to 835.1 TWh, as the weather turned colder (ANSA). Germany is at 60.25% and Italy at 90.08%, the highest of the large countries. Dutch TTF gas is €88.63 per MWh, down 2.26% on the day. Asian LNG hit about $32 per million BTU, close to its highest since 2022, because of reduced shipping through Hormuz.

For Europe & Italy: Italy's full storage is a cushion, but Germany's low level raises competition for LNG cargoes. Italy's regulator Arera approved a social bonus for district heating.

Climate politics

The IEA chief predicts a climate-action comeback before COP31 in Antalya (FT). Germany backs a global electricity target for 2035. Copernicus says 2026 will almost certainly exceed 1.5°C. Copper is $6.27 per pound, down 2.95% on the week.

VI Outlook

Market Implications

Asset or sector	Likely pressure	Driver	Already priced in?
Italian and European banks	Mixed	Hike odds support margins. The equity sell-off and the MPS result, with profit up 21%, pull in different directions.	Partly
Defence	Up	Black Sea attacks, EU interceptor programmes, Eurofighter orders	Partly
Energy and utilities	Mixed	Brent down 16% on the week, TTF at €88.63/MWh	Mostly for oil
Autos and luxury	Down	Risk-off mood, China exposure, Xi courting EU states on EVs	Partly
Tech and AI	Down	Fears of data-centre rules, with Nikkei -5.96% and Nasdaq 100 -6.36%	Largely, after the rout
BTP-Bund spread	Flat to slightly up	Equity stress against ECB hike risk	Yes, at 110 bp
Rates	Up	Lagarde's December signal and a Fed on hold	Mostly
EUR/USD	Down	Dollar index +0.41% to 101.97	Yes, near 1.12
Oil	Down	Iran deal hopes against a closed Hormuz	Partly
Gas	Mixed	Cold weather and falling storage against easing Brent	Partly
Gold	Mixed	Safe-haven demand, but it fell 0.83% to $4,079	Yes
Emerging markets	Mixed	Importers gain from cheaper oil. Korea and Taiwan fell in the AI rout.	Partly

Markets have so far priced a political shock to the AI trade, not a change in law. Futures rebounded, and some managers see "no big trigger". Italian bonds held steady, which suggests investors see the Italian risk as separate from the tech risk.

What could change this: a Democratic bill on data-centre power or permitting would harden the sell-off. A confirmed Iran deal would push oil lower and ease inflation fears. A hot US inflation print would lift yields and hurt equities further.

Market Opportunities & Risks

Educational overview, not advice. Each opportunity below comes with a risk, and prices can change fast.

AI infrastructure after the rout

Driver: The Nasdaq 100 fell about 9% in a week on fears of tougher rules for data centres. Chips, power equipment and cloud providers are exposed, including through sector ETFs. Some managers call it an overreaction. **Risks:** Regulation may be real, spending plans may be cut, and valuations were high. The VIX is at 26.88 and swings may continue. **Horizon:** Long-term theme, volatile in the short term. **Crowded?** The rout shows how crowded it was. Whether it is now cheap is a judgement, not a fact.

Italian banks and BTPs

Driver: Higher rates lift lending margins. Mps beat expectations and Intesa's takeover bid adds deal interest. BTPs yield about 4.3% with the spread near 110 basis points. **Risks:** An ECB hike raises funding costs and weakens bonds. Offers can fail, and a shock in Italian bond markets hits banks and BTPs together. **Horizon:** Medium term. **Priced in?** Bank gains already reflect part of the deal talk.

Oil, gas and energy importers

Driver: Hormuz and Ukrainian strikes keep supply tight, but Brent has dropped 16% in a week. Energy shares, European utilities and importing economies such as India react in opposite directions. **Risks:** A peace deal pushes prices down. A new attack pushes them up. Moves of 9% in a day show how violent this is. **Horizon:** Short term, headline-driven.

Gold as a hedge

Driver: Gold is $4,079, up 4.6% on the week, as investors seek safety. **Risks:** It pays no income, and a strong dollar or higher real yields can hit it. It also fell 0.83% on Friday.

Investing basics: drawdowns and concentration

A drawdown is the fall from a peak. A 6% fall needs about a 6.4% gain to recover, and a 20% fall needs 25%. Funds that track a few big technology names can fall together, as the Nasdaq 100 just showed. Spreading money across regions, asset types and currencies reduces this risk but does not remove it.

Sources: ANSA, ANSA gas, ANSA Lagarde, Bloomberg, Bloomberg Williams, Bloomberg ECB, Bloomberg refineries, The Record, Handelsblatt, Handelsblatt Xi, FT, FT IEA, FT Monzo, Bloomberg Man Group, Bloomberg Page, BBC, Scotiabank

Scenarios

The AI sell-off

- **Base case:** Volatility stays high, with partial rebounds, while investors wait for concrete Democratic proposals. This is the most likely path.
- **Upside:** Democratic leaders play down data-centre curbs and spending plans hold. The rebound extends, which is plausible.
- **Downside:** Specific bills or state-level limits emerge, or more chipmakers disappoint. Selling spreads to credit and Europe, which is less likely but possible.
- **Signposts:** Statements from Democratic leaders, US CPI on 10 November, and the VIX (now 26.88).

ECB rates and the succession

- **Base case:** The ECB holds the line until December and then raises by 25 basis points if the inflation projections stay high. This is likely.
- **Upside:** Energy prices fall with Iran diplomacy, the ECB pauses and Italian borrowing costs ease. This is possible.
- **Downside:** Inflation broadens and a hike is followed by more, while the succession becomes a Franco-German standoff. This is less likely.
- **Signposts:** The list of nominees, oil prices, and the December projections.

Iran and Ukraine diplomacy

- **Base case:** Talks continue with no signed deal, and Hormuz stays closed in the near term. This is likely.
- **Upside:** A framework with a partial Hormuz reopening, with Abu Dhabi producing a ceasefire step. This is unlikely this week.
- **Downside:** Tehran's flexibility proves tactical, missile rebuilding continues, and Russia only pretends to negotiate, as Lithuania's president warns. This is plausible.
- **Signposts:** Qatari or White House statements, who attends Abu Dhabi, and tanker traffic.

What to Watch

Date	Event	Why it matters
Sat 7 Nov	One year since Takaichi's Taiwan remarks	Japan-China freeze shows no sign of a thaw
Mon 9 Nov	Eurogroup reviews ECB president candidates (Ecofin follows, date to be confirmed)	Sets up the leaders' decision and the escape-clause debate on defence spending
Mon 9 Nov	COP31 opens in Antalya (to 20 Nov)	Germany backs a global electricity target for 2035
Tue 10 Nov	US October CPI (reported date, to be confirmed)	Tests Fed caution and the equity rebound
Tue 10 Nov	Crosetto before Copasir	Shapes the next Italian Ukraine aid package
10-11 Nov	Abu Dhabi talks on Ukraine	First three-way talks since February
11-12 Nov	COP31 leaders' summit	Climate commitments before the year-end

Further out: the Commission's hypersonic interceptor choice by 30 November, APEC in Shenzhen on 18-19 November, and the ECB meeting on 17 December.

Explained

Basis points, the BTP-Bund spread and the ECB

- **What it is:** The spread is the extra yield Italy pays over Germany on 10-year bonds. A basis point is 0.01 percentage point.
- **How it works:** Investors treat Germany as the safe benchmark. They demand extra yield to hold Italian debt. If worry about Italy rises, the spread widens and the Treasury's borrowing gets dearer.
- **Analogy:** It is the risk premium on a loan to a less-trusted neighbour.
- **Why now:** Despite the global sell-off, the spread opened at 110, against 109 on Thursday, with the BTP at 4.31%.
- **Key number:** 110 basis points.

Digital Services Act enforcement

- **What it is:** The EU's platform law lets the Commission police very large platforms.
- **How it works:** The Commission investigates and issues preliminary findings. The company replies. A final non-compliance decision can follow, with fines up to 6% of global turnover.
- **Analogy:** A regulator's formal charge sheet before the verdict.
- **Why now:** TikTok faces findings on its algorithm after the Commission analysed about 20,000 videos.
- **Key number:** 6%.

Data-centre regulation risk

- **What it is:** Data centres are the power-hungry buildings that run AI.
- **How it works:** AI valuations assume rapid construction. Limits on permits, power or local approvals could slow it, and with it chip and equipment demand.
- **Analogy:** Rules on building new motorways would hit the carmakers' growth plans.
- **Why now:** Fear of such limits triggered the $3tn sell-off, though no law has passed.
- **Key number:** 6.36% (the Nasdaq 100's fall on Thursday).

Impeachment

- **What it is:** The House can charge an official by simple majority. Removal needs two-thirds of the Senate.
- **How it works:** Articles are voted in the House, then the Senate holds a trial.
- **Analogy:** The House indicts, the Senate judges.
- **Why now:** Massie wants to revive articles against Hegseth.
- **Key number:** Two-thirds.

Glossary

- **Basis point:** one hundredth of a percentage point.
- **BTP:** Italian government bond.
- **Spread:** the yield gap between Italian and German 10-year bonds.
- **Eurogroup:** euro-area finance ministers, who advise on ECB appointments.

- **Ecofin:** the Council of all EU finance ministers.
- **ECB deposit rate:** the rate banks earn on cash parked at the ECB, the main policy rate.
- **Copasir:** the Italian parliamentary committee overseeing intelligence.
- **DSA:** the EU's Digital Services Act.
- **Hormuz:** the strait through which much Gulf oil and LNG passes.
- **PNRR:** Italy's EU-funded recovery plan, with a €28.4bn final instalment pending.
- **VIX:** Wall Street's volatility index.
- **Brent:** the international oil benchmark.

Sources: ANSA, Bloomberg, Bloomberg on Iran, The Record, Il Sole 24 Ore, UNFCCC COP31, Shenzhen government on APEC

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